Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2021

A215121/Pei Yee

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

CONTENTS

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the financial year ended 31 March 2021.

PRINCIPAL ACTIVITIES

The Company is principally engaged in software development and information technology outsourcing.

RESULTS

	RM
Net profit for the year after taxation, representing total comprehensive income	247,640

DIVIDENDS

No dividends have been paid or declared since the end of the previous financial year. The directors do not recommend any dividend payment in respect of the current financial year.

DIRECTORS

The directors in office during the financial year and during the period from the end of the financial year to the date of the report are:-

Jacob Pillay
Huang Miew Woon (Resigned on 10/03/21)
Taibah Binti Abdul Rahman @ Ling Kiong

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, none of the Directors who held office at the end of the financial year held any shares or debentures in the Company or its holding company during the financial year.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no director of the Company has received or become entitled to receive any benefit by reason of a contract made by the Company or by a related corporation with the director, or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company a party to any arrangement whose object is to enable the directors to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

DIRECTORS' REMUNERATION

	RM
Professional fees paid to a company which certain Directors have interests	13,490

INDEMNITY AND INSURANCE FOR DIRECTORS AND OFFICERS

There were no indemnity given to or insurance effected for any directors, officers and auditors of the Company in accordance with Section 289 of the Companies Act 2016.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the current financial year other than those disclosed in the financial statements.

ISSUE OF SHARES

The Company did not issue any new shares during the financial year.

SHARE OPTIONS

No options have been granted by the Company to any parties during the financial year to take up unissued shares of the Company.

No shares have been issued during the financial year by virtue of the exercise of any option to take up unissued shares of the Company. As at the end of the financial year, there were no unissued shares of the Company under options.

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps:

(a) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts, and are satisfied that there were no bad and doubtful debts; and

(b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the values of current assets as shown in the accounting records of the Company had been written down to an amount which the current assets might be expected so to realise.

OTHER STATUTORY INFORMATION – CONT'D

At the date of this report, the directors of the Company are not aware of any circumstances:

(a) which would render it necessary to write off bad debts or to make allowance for doubtful debts; or

(b) which would render the values attributed to the current assets in the financial statements of the Company misleading; or

(c) which have arisen which would render adherence to the existing methods of valuation of assets or liabilities of the Company misleading or inappropriate.

At the date of this report, there does not exist:

(a) any charge on the assets of the Company that has arisen since the end of the financial year which secures the liabilities of any other person; or

(b) any contingent liability in respect of the Company that has arisen since the end of the financial year.

No contingent or other liability of the Company has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

At the date of this report, the directors are not aware of any circumstances, not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements of the Company misleading.

In the opinion of the directors:-

(i) the result of the Company's operations during the financial year was not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

AUDITORS

The auditors, Mustapha, Khoo & Co., have indicated their willingness to continue in office.

AUDITORS' REMUNERATION

The auditors' remuneration is disclosed in Note 19 to the financial statements.

Signed on behalf of the Board, as approved by the Board in accordance with a resolution of the Directors,

Taibah Binti Abdul Rahman @ Ling Kiong
Director

Jacob Pillay
Director

Dated: 11 JUN 2021

NC0L4I07FG

NOTARIAL CERTIFICATE

TO ALL TO WHOM these presents shall come

I, Lim Kwee Hong Irene, NOTARY PUBLIC duly admitted, authorised to practise in the Republic of Singapore, DO HEREBY CERTIFY

that I was present on the 11th day of June 2021 and did see JACOB PILLAY, the person named and described in the document/s annexed hereto, duly sign and execute the same and that the name "JACOB PILLAY" thereto subscribed is of the proper handwriting of the said person.

IN FAITH AND TESTIMONY whereof I the said notary have subscribed my name and set and affixed my seal of office at Singapore, this 11th day of June 2021.

NOTARY PUBLIC
SINGAPORE

NOTARY PUBLIC
Irene Lim Kwee Hong
N2020/0454
1 Oct 2020 – 30 Sep 2021
SINGAPORE

By virtue of Rule 8(3)(c) of the Notaries Public Rules, a Notarial Certificate must be authenticated by the Singapore Academy of Law in order to be valid.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS
Pursuant to Section 251(2) of the Companies Act 2016

We, Taibah Binti Abdul Rahman @ Ling Kiong and Jacob Pillay, being two of the directors of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do hereby state that, in the opinion of the directors, the financial statements set out on pages 10 to 41 are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2021 and financial performance of the Company for the financial year ended 31 March 2021 in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016.

Signed in accordance with a resolution of the Directors,

Taibah Binti Abdul Rahman @ Ling Kiong
Director

Jacob Pillay
Director

Dated: 11 JUN 2021

STATUTORY DECLARATION
Pursuant to Section 251(1)(b) of the Companies Act 2016

I, Jacob Pillay, being the director primarily responsible for the financial management of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do solemnly and sincerely declare that the financial statements set out on pages 10 to 41 are, to the best of my knowledge and belief, correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Oaths and Declaration Act (Cap 211).

Subscribed and solemnly)
declared by the abovenamed)
at Singapore on 11 June 2021)
)

Jacob Pillay
Director

Before me,

Commisio~~ner for~~ Oaths

NOTARY PUBLIC
Irene Lim Kwee Hong
N2020/0454
1 Oct 2020 - 30 Sep 2021
SINGAPORE

Company No: 200501036816 (718964-U)

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of MINDTECK SOFTWARE MALAYSIA SDN. BHD., which comprise the statement of financial position as at 31 March 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the financial year then ended, and a summary of significant accounting policies, as set out on pages 10 to 41.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2021, and of its financial performance and its cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the information included in the directors' report but does not include the financial statements of the Company and our auditors' report thereon.

MK

MUSTAPHA, KHOO & CO (AF:0599)
Chartered Accountants, Audit & Assurance

No. 30-4 & 32-4, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park, Off Jalan Kuchai Lama,
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An Association of Independent Accounting Firms

Information Other than the Financial Statements and Auditors' Report Thereon – Cont'd

Our opinion on the financial statements of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

mia
MALAYSIAN INSTITUTE OF ACCOUNTANTS

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Company No: 200501036816 (718964-U)

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MINDTECK SOFTWARE MALAYSIA SDN. BHD. (Incorporated in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements – Cont'd

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MALAYSIAN INSTITUTE OF ACCOUNTANTS

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Company No: 200501036816 (718964-U)

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MINDTECK SOFTWARE MALAYSIA SDN. BHD. (Incorporated in Malaysia)

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the contents of this report.

Mustapha, Khoo & Co
AF: 0599
Chartered Accountants

Khoo Siong Kee
No. 00791/04/2022 J
Chartered Accountant

Kuala Lumpur

Dated: 11 JUN 2021

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2021

	Note	2021 RM	2020 RM
NON-CURRENT ASSETS			
Plant and equipment	6	4,080	10,209
Intangible asset	7	1	1
Right-of-use assets	8	90,990	145,447
		95,071	155,657
CURRENT ASSETS			
Trade and other receivables	9	2,561,638	3,452,099
Amount due from a related company	10	-	50,470
Amount due from holding company	11	72,575	8,632
Current tax assets		-	89,510
Cash and bank balances	12	2,660,043	1,504,285
		5,294,256	5,104,996
TOTAL ASSETS		5,389,327	5,260,653
EQUITY			
Share capital	13	250,000	250,000
Retained profits	14	4,066,413	3,818,773
TOTAL EQUITY		4,316,413	4,068,773
NON-CURRENT LIABILITY			
Lease liabilities	15	40,721	98,203
CURRENT LIABILITIES			
Other payables		896,742	941,468
Amount due to a related company	10	58,206	75,771
Amount due to holding company	11	1,731	23,459
Lease liabilities	15	57,482	52,979
Current tax liabilities		18,032	-
		1,032,193	1,093,677
TOTAL LIABILITIES		1,072,914	1,191,880
TOTAL EQUITY AND LIABILITIES		5,389,327	5,260,653

The accompanying notes form an integral part of these financial statements.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2021

	Note	2021 RM	2020 RM
Revenue	16	8,009,940	9,297,658
Cost of sales	17	(6,231,960)	(6,887,524)
Gross profit		1,777,980	2,410,134
Other income	18	15,297	53,227
Total income		1,793,277	2,463,361
Administrative and operating expenses	19	(1,433,444)	(1,868,254)
Profit before finance cost and taxation		359,833	595,107
Finance cost	21	(7,693)	(11,844)
Profit before taxation		352,140	583,263
Taxation	22	(104,500)	(152,130)
Net profit for the year after taxation, representing total comprehensive income		247,640	431,133

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2021

	Share capital RM	Retained profits RM	Total RM
2021			
As at 1 April 2020	250,000	3,818,773	4,068,773
Total comprehensive income for the year	-	247,640	247,640
As at 31 March 2021	250,000	4,066,413	4,316,413
2020			
As at 1 April 2019	250,000	3,387,640	3,637,640
Total comprehensive income for the year	-	431,133	431,133
As at 31 March 2020	250,000	3,818,773	4,068,773

The accompanying notes form an integral part of these financial statements.

Company No: 200501036816 (718964-U)

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 MARCH 2021

	Note	2021 RM	2020 RM
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		352,140	583,263
Adjustments for:			
Bad debts written off		-	31,800
Depreciation of plant and equipment		6,129	8,703
Depreciation of right-of-use assets		54,457	53,663
Lease interest expense		7,693	11,844
Reversal of impairment loss on trade receivables		-	(26,491)
Unrealised foreign exchange loss / (gain)		3,407	(4,992)
Operating profit before changes in working capital		423,826	657,790
Changes in working capital:			
Decrease in trade and other receivables		890,461	2,995,151
Decrease in amount due from a related company		50,470	19,191
Increase in amount due from holding company		(63,943)	(745)
Decrease in other payables		(44,726)	(56,915)
Decrease in amount due to a related company		(20,972)	(1,246,212)
Decrease in amount due to holding company		(21,728)	(631,553)
Increase in lease liabilities		-	151,182
Net cash generated from operating activities		1,213,388	1,887,889
Interest paid		(7,693)	(11,844)
Tax paid		(23,731)	(263,999)
Tax refund		26,773	-
Net cash from operating activities		1,208,737	1,612,046
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of right-of-use assets		-	(199,110)
Lease liabilities paid		(52,979)	-
Net cash used in investing activities		(52,979)	(199,110)
Net increase in cash and cash equivalents		1,155,758	1,412,936
Cash and cash equivalents at the beginning of the year		1,504,285	91,349
Cash and cash equivalents at the end of the year		2,660,043	1,504,285
CASH AND CASH EQUIVALENTS COMPRISE:-			
Cash and bank balances	12	2,660,043	1,504,285

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2021

1. PRINCIPAL ACTIVITIES AND GENERAL INFORMATION

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a limited company, incorporated and domiciled in Malaysia. The registered office of the Company is situated at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Teknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

The principal place of business of the Company is located at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Teknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

All the amounts stated in the financial statements are in Ringgit Malaysia.

2. HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

3. DATE OF AUTHORISATION OF ISSUE

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 11 June 2021.

4. SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of preparation

The financial statements of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

The financial statements of the Company have been prepared under the historical cost basis, except as otherwise disclosed in the significant accounting policies.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(i) Adoption of Amendments to MFRSs

The Company had adopted the following amendments to MFRSs that are mandatory for the current financial year:-

Amendments to MFRSs	
MFRS 3	Definition of a Business
MFRS 9, MFRS 139 and MFRS 7	Interest Rate Benchmark Reform
MFRS 101 and MFRS 108	Definition of Material
Amendments to References to the Conceptual Framework in MFRS standards	

The adoption of the above pronouncements did not have any material impact on the financial statements of the Company.

(ii) New MFRSs and Amendments to MFRSs that are issued, but not yet effective and have not been early adopted

The Company have not adopted the following new MFRSs and Amendments to MFRSs that have been issued as at the date of authorisation of these financial statements but are not yet effective for the Company:-

		Effective for financial periods beginning on or after
New MFRSs		
MFRS 17	Insurance Contracts	1 January 2023

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(ii) New MFRSs and Amendments to MFRSs that are issued, but not yet effective and have not been early adopted – Cont'd

		Effective for financial periods beginning on or after
Amendments to MFRSs		
MFRS 16	COVID-19-Related Rent Concessions	1 June 2020
MFRS 9, MFRS 139, MFRS 7, MFRS 4 and MFRS 16	Interest Rate Benchmark Reform - Phase 2	1 January 2021
MFRS 3	Reference to the Conceptual Framework	1 January 2022
MFRS 116	Property, Plant and Equipment - Proceeds before Intended Use	1 January 2022
MFRS 137	Onerous Contracts - Cost of Fulfilling a Contract	1 January 2022
MFRS 17	Insurance Contracts	1 January 2023
MFRS 101	Classification of Liabilities as Current or Non-current	1 January 2023
MFRS 10 and MFRS 128	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
Annual Improvement to MFRS Standards 2018 - 2020		1 January 2022

The Company will adopt the above pronouncements when they become effective in the respective financial periods. These pronouncements are not expected to have any effect to the financial statements of the Company upon their initial application.

(b) Plant and equipment and depreciation

Plant and equipment are initially stated at cost. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance costs are charged to profit or loss during the financial year in which they are incurred. Costs include expenditure that is directly attributable to the acquisition of the plant and equipment.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(b) Plant and equipment and depreciation – Cont'd

Subsequent to recognition, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 4(c).

Depreciation is provided on the straight-line basis calculated so as to write off the cost of each plant and equipment over the expected useful life of the plant and equipment concerned.

The estimated useful lives are as follows:-

Office equipment	5 years
Furniture and fittings	5 years
Computers	2 years

The residual values, useful lives and depreciation method of plant and equipment are reviewed, and adjusted if appropriate, at each reporting date to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any and the net carrying amount is recognised in the profit or loss.

(c) Impairment of assets

The Company applies the simplified approach to measure expected credit losses ("ECL"). This entails recognizing a lifetime expected loss allowance for all trade receivables. Loss rate are determined based on grouping of receivables sharing the same credit risk characteristics and past due days.

Management assesses the ECL for portfolios of trade receivables based on customer segments, historical information on payment patterns, terms of payment, concentration maturity, and information about the general economic situation in the countries.

No significant changes to estimation techniques or assumptions were made during the reporting period.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(c) Impairment of assets – Cont'd

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Company compare the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportable forward-looking information.

A significant increase in credit risk is presumed if a debtor is more than 90 days past due in making a contractual payment.

For other receivables and intercompany balances, the Company applies 3-stage approach to measure expected credit losses which reflect their credit risk and how the loss allowance is determined. The Company assessed the intercompany receivables as performing category with a low risk of default and a strong capacity to meet contractual cash flows. The basis of measuring ECL is based on 12 month ECL.

(d) Cash and cash equivalents

Cash and cash equivalents are cash in hand, bank balances, demand deposits, deposits pledged with financial institutions, bank overdrafts and short-term, highly liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of changes in value.

(e) Leases

(i) Definition of lease

A contract is, or contains, a lease if the contract conveys a right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:-

- the contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the customer has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the customer has the right to direct the use of the asset. The customer has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the customer has the right to direct the use of the asset if either the customer has the right to operate the asset; or the customer designed the asset in a way that predetermines how and for what purpose it will be used.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(e) Leases – Cont'd

(i) Definition of lease – Cont'd

At inception or on reassessment of a contract that contains a lease component, the Company allocate the consideration in the contract to each lease and non-lease component on the basis of their relative stand-alone prices. However, for leases of properties in which the Company is a lessee, it has elected not to separate non-lease components and will instead account for the lease and non-lease components as a single lease component.

(ii) Recognition and initial measurement

(a) As a lessee

The Company recognise a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the respective Company incremental borrowing rate. Generally, the Company use their incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:-

- fixed payments, including in-substance fixed payments less any incentives receivable;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee;
- the exercise price under a purchase option that the Company is reasonably certain to exercise; and
- penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The Company exclude variable lease payments that linked to future performance or usage of the underlying asset from the lease liability. Instead, these payments are recognised in profit or loss in the period in which the performance or use occurs.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(e) Leases – Cont'd

(ii) Recognition and initial measurement – Cont'd

(a) As a lessee – Cont'd

The Company have elected not to recognise right-of-use assets and lease liabilities for short-term leases that have a lease term of 12 months or less and leases of low-value assets. The Company recognise the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(b) As a lessor

When the Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease.

If an arrangement contains lease and non-lease components, the Company apply MFRS 15 to allocate the consideration in the contract based on the stand-alone selling prices.

The Company recognise assets held under a finance lease in its statement of financial position and presents them as a receivable at an amount equal to the net investment in the lease. The Company use the interest rate implicit in the lease to measure the net investment in the lease.

When the Company are an intermediate lessor, it accounts for its interests in the head lease and the sublease separately. It assesses the lease classification of a sublease with reference to the right- of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company apply the exemption described above, then it classifies the sublease as an operating lease.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(e) Leases – Cont'd

(iii) Subsequent measurement

(a) As a lessee

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a revision of in-substance fixed lease payments, or if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, or if the Company changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

(b) As a lessor

The Company recognise lease payments received under operating leases as income on a straight- line basis over the lease term as part of "revenue".

The Company recognise finance income over the lease term, based on a pattern reflecting a constant periodic rate of return on the Company's net investment in the lease. The Company aim to allocate finance income over the lease term on a systematic and rational basis. The Company apply the lease payments relating to the period against the gross investment in the lease to reduce both the principal and the unearned finance income. The net investment in the lease is subject to impairment requirements in MFRS 9, Financial Instruments.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(f) Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Ordinary shares are classified as equity instruments.

Ordinary shares are recorded at the proceeds received, net of directly attributable incremental transaction costs.

Dividends to shareholders are recognised in equity in the period in which they are declared.

(g) Income tax

Income tax for the financial year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and is measured using the tax rates that have been enacted or substantially enacted at the reporting date.

Deferred tax is recognised in full, using the statements of financial position liability method, on temporary differences arising at the reporting date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised. However, deferred tax is not accounted for if the temporary difference arises from goodwill or from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction, affects neither accounting nor taxable profit or loss.

Deferred tax is determined using the tax rates that are expected to apply in the financial year when the asset is realised or the liability is settled, based on the tax rates that have been enacted or substantively enacted at the reporting date. Deferred tax is recognised in the statements of comprehensive income, except when it arises from a transaction which is recognised directly in equity, in which case the deferred tax is also recognised directly in equity, or when it arises from a business combination that is an acquisition, in which case the deferred tax is included in the resulting goodwill.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(h) Revenue recognition

Revenue from contracts with customers is recognised by reference to each distinct performance obligation in the contract with customer. Revenue from contracts with customers is measured at its transaction price, being the amount of consideration which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, net of taxes, return, rebates and discounts. Transaction price is allocated to each performance obligation on the basis of the relative standalone selling prices of each distinct good or services promised in the contract. Depending on the substance of the contract, revenue is recognised when the performance obligation is satisfied, which may be at a point in time or over time.

The Company recognises revenue when or as it transfers control over a product or service to customer. An asset is transferred when (or as) the customer obtains control of the asset.

An entity transfers control of a good or service overtime and, therefore, satisfies a performance obligation and recognises revenue over time. If a performance obligation is not satisfied over time, an entity satisfies the performance obligation and recognises revenue at a point in time.

(i) Foreign currencies

(i) Functional and presentation currency

The financial statements are presented in Ringgit Malaysia (RM), which is also the Company's functional currency.

(ii) Foreign currency transactions

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency (foreign currencies) are recorded in the functional currencies using the exchange rates prevailing at the dates of the transactions. At each reporting date, monetary items denominated in foreign currencies are translated at the rates prevailing on the reporting date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(i) Foreign currencies – Cont'd

(ii) Foreign currency transactions – Cont'd

Exchange differences arising on the settlement of monetary items, and on the translation of monetary items, are included in profit or loss for the financial year. Exchange differences arising on the translation of non-monetary items carried at fair value are included in the profit or loss for the financial year except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised directly in equity. Exchange differences arising from such non-monetary items are also recognised directly in equity.

The principal closing rate used in the translation of foreign currency amounts was as follows:

	2021	2020
	RM	RM
1 US dollar	4.159	4.299
1 Singapore dollar	3.087	3.020

(j) Employee benefits

(i) Short term employees benefits

Wages, salaries, paid annual leave and sick leave, bonuses and non-monetary benefits are measured on an undiscounted basis and are recognized in profit or loss in the period in which the associated services are rendered by employee of the Company.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). Such contributions are recognised as an expense in the statements of comprehensive income as incurred.

(k) Cash flow statement

The Company adopts the indirect method in the preparation of cash flow statement.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments

(i) Financial assets

(a) Recognition and measurement of financial assets

The Company recognizes a financial asset when it becomes a party to the contractual provisions of the instrument. The Company initially recognizes trade and other receivables on the date of transaction.

At initial recognition, the Company measures a financial asset at its fair values plus, in the case of financial asset not measured at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction cost of a financial asset measured at fair value through profit or loss is recognized as profit or loss.

(b) Classification of non-derivative financial assets

Classification and measurement model of non-derivative financial assets are summarized as follows. The Company classifies financial assets at initial recognition as financial assets measured at amortized cost, debt instruments measured at fair value through other comprehensive income, equity instruments measured at fair value through other comprehensive income or financial assets measured at fair value through profit or loss.

(i) Financial assets measured at amortized cost

A financial asset that meets both the following condition is classified as a financial asset measured at amortized cost.

- The financial asset is held within the Company's business model whose objective is to hold assets in order to collect contractual cash flows.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A financial asset measured at amortized cost is initially recognized at fair value plus transaction cost directly attributable to the asset. After initial recognition, carrying amount of the financial asset measured at amortized cost is determined using effective interest method, net of impairment loss, if necessary.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(I) Financial instruments – Cont'd

(i) Financial assets – Cont'd

(b) Classification of non-derivative financial assets – Cont'd

(ii) Debt instruments measured at fair value through other comprehensive income

A debt instrument that meets both the following condition is classified as a financial asset measured at fair value through other comprehensive income.

- The financial asset is held within the Company's business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument measured at fair value through other comprehensive income is recognized initially at fair value plus transaction cost directly attributable to the asset. After initial recognition, the asset is measured at fair value with changes in fair value included as "financial asset at fair value through other comprehensive income" in other comprehensive income. Accumulated gains or losses recognized through other comprehensive income are directly transferred to profit or loss when debt instrument is derecognized.

(iii) Equity instruments measured at fair value through other comprehensive income

The Company makes an irrevocable election to recognized changes in fair value of investments in equity instrument through other comprehensive income, not through profit or loss. A gain or loss from fair value changes will be shown in other comprehensive income and will not be reclassified subsequently to profit or loss.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(i) Financial assets – Cont'd

(b) Classification of non-derivative financial assets – Cont'd

(iii) Equity instruments measured at fair value through other comprehensive income – Cont'd

An equity instrument measured at fair value through other comprehensive income is recognized initially at fair value plus transaction cost directly attributable to the asset. After initial recognition, the asset is measured at fair value with changes in fair value included as "financial asset at fair value through other comprehensive income" in other comprehensive income. Accumulated gains or losses recognized through other comprehensive income are directly transferred to retained earnings when equity instrument is derecognized or its fair value substantially decreased.

Dividends are recognized as "finance income" in profit or loss.

(iv) Financial assets measured at fair value through profit or loss

When any of the above-mentioned conditions for classification of financial assets is not met, a financial asset is classified as "at fair value through profit or loss" and measured at fair value with changes in fair value recognized in profit or loss.

A financial asset measured at fair value through profit or loss is recognized initially at fair value and its transaction cost is recognized in profit or loss when incurred. A gain or loss on a financial asset measured at fair value through profit or loss is recognized in profit or loss, and presented in "finance income" or "finance cost" in the statement of income for reporting period in which it arises.

(c) Derecognition of financial assets

The Company derecognizes its financial asset if the contractual rights to the cash flow from the investment expire, or the Company transfers substantially all the risks and rewards of ownership of the financial asset. Any interests in transferred financial assets that are created or continuously retained by the Company are recognized as a separate asset or liability.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(I) Financial instruments – Cont'd

(ii) Non-derivative financial liabilities

(a) Recognition and measurement of financial liabilities

The Company recognizes financial debt when the Company becomes a party to the contractual provisions of the instruments. The measurement of financial debt is explained in (b) Classification of financial liabilities.

(b) Classification of financial liabilities

(i) Financial liabilities measured at amortized cost

A financial liability other than those measured at fair value through profit or loss is classified as a financial liability measured at amortized cost. A financial liability at amortized cost is initially measured at fair value less transaction cost directly attributable to the issuance of the financial liability. After initial recognition, the financial liability is measured at amortized cost based on the effective interest rate method.

(ii) Financial liabilities measured at fair value through profit or loss

A financial liability measured at fair value through profit or loss is initially measured at fair value. After initial recognition, the financial liability is measured at fair value with subsequent changes recognized as profit or loss.

(c) Derecognition of financial liabilities

The Company derecognizes a financial liability when the financial liability is distinguished, i.e. when the contractual obligation is discharged or cancelled or expired.

(d) Preference shares

Preference shares are classified as equity or financial liabilities based on the contractual arrangements, not on their legal forms. Preference shares mandatorily redeemable on a particular date are classified as financial liabilities. Preference shares classified as liabilities are measured at amortized cost in the statement of financial position and the dividends on these preference shares are recognized as interest expense and presented as financial cost in the statement of income.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(iii) Presentation of financial assets and liabilities

Financial assets and liabilities are offset and the net amount is presented in the statement of financial position only when the Company currently has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated by the Directors and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and assumptions that affect the application of the Company's accounting policies and have a significant risk of causing a material adjustment to the carrying amounts of assets, liabilities, income and expenses are outlined below:-

(i) Depreciation of plant and equipment

The cost of plant and equipment is depreciated on the straight-line basis over the assets' useful lives. The management estimates the range of useful lives of these plant and equipment to be 2 to 5 years. However, any changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised.

(ii) Impairment of receivables

The Company makes impairment of receivables based on an assessment of the recoverability of the receivables. Impairment is applied to receivables where events or changes in circumstances indicate that the carrying amounts may not be recoverable. The management specifically analyses historical bad debt, customer concentration, customer creditworthiness, current economic trends and changes in customer payment terms when making a judgment to evaluate the adequacy of impairment of receivables. Where expectations differ from the original estimates, the differences will impact the carrying value of receivables.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS – CONT'D

(iii) Income taxes

There are certain transactions and calculations for which the ultimate tax determination may be different from the initial estimate. Tax liabilities are recognised based on the Company's understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business.

Where the final outcome is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period in which such determination may be different from the initial estimate.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2021

6. PLANT AND EQUIPMENT

	Office equipment RM	Furniture and fittings RM	Computers RM	Total RM
Net carrying amount as at 1 April 2019	4,136	8,978	5,798	18,912
Depreciation charge	(709)	(5,638)	(2,356)	(8,703)
Net carrying amount as at 31 March 2020	3,427	3,340	3,442	10,209
Depreciation charge	(1,030)	(3,064)	(2,035)	(6,129)
Net carrying amount as at 31 March 2021	2,397	276	1,407	4,080
Net carrying amount as at 31 March 2020				
Cost	10,705	63,522	51,671	125,898
Accumulated depreciation	(7,278)	(60,182)	(48,229)	(115,689)
Net carrying amount	3,427	3,340	3,442	10,209
Net carrying amount as at 31 March 2021				
Cost	10,705	63,522	51,671	125,898
Accumulated depreciation	(8,308)	(63,246)	(50,264)	(121,818)
Net carrying amount	2,397	276	1,407	4,080

7. INTANGIBLE ASSET

	Software RM
Net carrying amount as at 1 April 2019	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2020	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2021	1
Net carrying amount as at 31 March 2020	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1
Net carrying amount as at 31 March 2021	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1

8. RIGHT-OF-USE ASSETS

	Building RM
Net carrying amount as at 1 April 2019	160,977
Additions	38,133
Depreciation charge	(53,663)
Net carrying amount as at 31 March 2020	145,447
Depreciation charge	(54,457)
Net carrying amount as at 31 March 2021	90,990

The Company lease a building that run 2 years, with an option to renew the lease after that date.

(i) Extension option

Lease of office building contains extension option exercisable by the Company up to two years before the end of the non-cancellable contract period. Where practicable, the Company seek to include extension option in new lease to provide operational flexibility. The extension option held is exercisable only by the Company and not by the lessor. The Company assess at lease commencement whether it is reasonably certain to exercise the extension option. The Company reassess whether it is reasonably certain to exercise the option if there is a significant event or significant change in circumstances within its control.

8. RIGHT-OF-USE ASSETS – CONT'D

(ii) Significant judgement and assumptions in relation to leases

The Company assess at lease commencement by applying significant judgement whether it is reasonably certain to exercise the extension option. The Company consider all facts and circumstances including their past practice and any cost that will be incurred to change the asset if an option to extend is not taken, to help them determine the lease term.

The Company also applied judgement and assumptions in determining the incremental borrowing rate of the respective leases. The Company first determine the closest available borrowing rates before using significant judgement to determine the adjustments required to reflect the term, security, value or economic environment of the respective leases.

9. TRADE AND OTHER RECEIVABLES

	2021 RM	2020 RM
Trade receivables	3,173,223	3,993,571
Less: Impairment loss	(794,376)	(794,376)
	2,378,847	3,199,195
Other receivables, deposits and prepayments		
Other receivables	6,268	49,383
Deposits	32,429	44,317
Prepayments	144,094	159,204
	182,791	252,904
Total trade and other receivables	2,561,638	3,452,099

10. AMOUNT DUE FROM / (TO) A RELATED COMPANY

Amount due from / (to) a related company is unsecured, interest free and repayable on demand except for a borrowing of SGD220,000 bear interest rate of 8.5% with credit terms of 365 days in prior year.

11. AMOUNT DUE FROM / (TO) HOLDING COMPANY

Amount due from / (to) holding company is unsecured, interest free and repayable on demand.

12. CASH AND BANK BALANCES

	2021 RM	2020 RM
Cash in hand	523	2,566
Cash at banks	2,659,520	1,501,719
	2,660,043	1,504,285

13. SHARE CAPITAL

	Number of ordinary shares			
	2021 Units	2020 Units	2021 RM	2020 RM
Issued and fully paid:				
At the beginning and end of the financial year	250,000	250,000	250,000	250,000

14. RETAINED PROFITS

The retained profits of the Company are available for distributions by way of cash dividends or dividends in specie. Under the single tier system of taxation, dividends payables to shareholders are deemed net of income taxes. There are no potential income tax consequences that would result from the payment of dividends to shareholders.

15. LEASE LIABILITIES

	2021 RM	2020 RM
Future lease payments payable:		
- Not later than one year	60,672	60,672
- More than one year to five years	40,792	101,464
Total future lease payments	101,464	162,136
Less: Future finance charges	(3,261)	(10,954)
Present value of lease payments	98,203	151,182
Payment due within 12 months as current	57,482	52,979
Non-current portion	40,721	98,203
Total lease liabilities	98,203	151,182

16. REVENUE

	2021 RM	2020 RM
Software development and information technology outsourcing fee	8,009,940	9,297,658

17. COST OF SALES

	2021 RM	2020 RM
Included in the above is the following expense:-		
Staff costs (Note 20)	3,984,629	5,296,185

18. OTHER INCOME

	2021 RM	2020 RM
Interest income	10,747	1,100
Rental discount received	4,550	-
Reversal of impairment loss on trade receivables	-	26,491
Sundry income	-	20,644
Unrealised foreign exchange gain	-	4,992
	15,297	53,227

19. ADMINISTRATIVE AND OPERATING EXPENSES

	2021 RM	2020 RM
Included in the above are the following expenses:-		
Auditors' remuneration	8,800	8,800
Bad debts written off	-	31,800
Depreciation of plant and equipment	6,129	8,703
Depreciation of right-of-use assets	54,457	53,663
Realised foreign exchange loss	49,015	48,615
Rental of premises	15,138	16,514
Staff costs (Note 20)	525,338	633,099
Unrealised foreign exchange loss	3,407	-

20. STAFF COSTS

	2021 RM	2020 RM
Direct cost (Note 17)		
Salaries, bonuses, allowance and welfare	3,821,230	5,070,523
Defined contribution plans	72,935	89,665
Social security contributions	27,164	39,210
Other benefits	63,300	96,787
	3,984,629	5,296,185
Administrative (Note 19)		
Salaries, bonuses, allowance and welfare	480,952	576,870
Defined contribution plans	20,815	35,804
Social security contributions	3,390	2,664
Other benefits	20,181	17,761
	525,338	633,099
Number of employees at end of year (excluding directors)	42	71

21. FINANCE COST

	2021 RM	2020 RM
Lease interest expense	7,693	11,844

22. TAXATION

	2021 RM	2020 RM
Current year's provision	92,269	143,948
Under provision of taxation in prior year	12,231	8,182
	104,500	152,130

A reconciliation of income tax expenses applicable to profit before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

22. TAXATION – CONT'D

	2021 RM	2020 RM
Profit before taxation	352,140	583,263
Income tax using Malaysia tax rate at 24%	84,514	139,983
Non-taxable income	-	(6,358)
Tax effects of non-deductible expenses	7,024	9,162
Deferred tax assets not recognised	687	-
Under provision of taxation in prior year	12,231	8,182
Others	44	1,161
Tax expense	104,500	152,130

The following deferred tax assets have not been recognised as the directors are unable to assured that future taxable profit will be available against which the temporary difference can be utilised.

	2021 RM	2020 RM
Deductible temporary differences of qualifying plant and equipment	2,863	-

23. SIGNIFICANT RELATED PARTY TRANSACTION

The Company has related party relationship with the following party: -

Name of related party	Relationship
Mindteck (India) Limited	Holding company
Mindteck Singapore Pte. Ltd.	Related company

(a) Significant related party transactions

	2021 RM	2020 RM
Mindteck (India) Limited		
- Corporate finance fee	97,571	-
Mindteck Singapore Pte. Ltd.		
- Corporate finance fee	474,281	-
Professional fees paid to a company which certain Directors have interests	13,490	12,708

23. SIGNIFICANT RELATED PARTY TRANSACTION – CONT'D

(a) Significant related party transactions – Cont'd

The directors are of the opinion that, all the above transactions have been entered into in the normal course of business and have been established on terms and conditions that are not materially different from that obtainable in transactions with unrelated parties.

Information regarding the outstanding balances arising from related party transactions as at 31 March 2021 are disclosed in Note 10 and 11.

24. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

	2021 RM	2020 RM
Amount due from holding company		
USD	72,575	-
Amount due to a related company		
SGD	58,206	75,771
Amount due to holding company		
USD	1,731	23,459

24. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

(iii) Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

(iv) Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

(v) Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

(b) Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

24. FINANCIAL INSTRUMENTS – CONT'D

(c) Credit quality of financial assets

	2021 RM	2020 RM
Financial assets:		
- Trade and other receivables (Excluded prepayments)	2,417,544	3,292,895
- Amount due from a related company	-	50,470
- Amount due from holding company	72,575	8,632
- Cash and bank balances	2,660,043	1,504,285
	5,150,162	4,856,282
Financial liabilities:		
- Other payables	896,742	941,468
- Amount due to a related company	58,206	75,771
- Amount due to holding company	1,731	23,459
- Lease liabilities	98,203	151,182
	1,054,882	1,191,880

(d) Category of financial instruments

	2021 RM	2020 RM
Receivables		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	2,378,847	3,199,195
Related parties		
- Related parties more than 6 months with no defaults in the past	72,575	59,102
	2,451,422	3,258,297
Cash at banks		
- AAA	2,659,520	1,501,719

(e) Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholders value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust capital structure, the Company may adjust the dividend payment to shareholders or issue new shares, where necessary.

24. FINANCIAL INSTRUMENTS – CONT'D

(e) Capital management – Cont'd

The Company's approach in managing capital is based on defined guidelines that are approved by the Board. No changes were made in the objectives, policies or processes during the financial year.

The Company is not subject to any externally imposed capital requirements.

The Company monitors capital by reference to its indebtedness position, which is derived from the total financial debts divided by the total equity plus total financial debts. The Company's strategy is to maintain the balance between debt and equity and to ensure sufficient operating cash flows to repay its liabilities as and when they fall due.

25. SIGNIFICANT EVENT OCCURING DURING THE FINANCIAL YEAR

The World Health Organisation declared the novel coronavirus ("COVID-19") a global pandemic on 11 March 2020. The Government of Malaysia imposed the Movement Control Order ("MCO") on 18 March 2020 and has subsequently entered into various phases of the MCO.

The Company has assessed the financial impact on the Company and of the opinion that there were no material financial impact arising from the pandemic. To mitigate its potential risks exposure, the Company has taken and will continue to take necessary steps to safeguard and preserve its financial condition, emphasising on liquidity management to meet its continuing financial commitments and liquidity needs of business operations.

As at the date of authorization of the financial statements, the scale and duration of the economic uncertainties arising from the COVID-19 pandemic, could not be reasonably estimated. The Company is actively monitoring and managing its operations to respond to these changes and minimise any impacts that may arise.

Company No: 200501036816 (718964-U)

FOR MANAGEMENT PURPOSES ONLY

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DETAILED PROFIT AND LOSS ACCOUNTS FOR THE YEAR ENDED 31 MARCH 2021

	2021 RM	2020 RM
Revenue	8,009,940	9,297,658
Cost of sales (APPENDIX I)	(6,231,960)	(6,887,524)
Gross profit	1,777,980	2,410,134
Other income:		
Interest income	10,747	1,100
Rental discount received	4,550	-
Reversal of impairment loss on trade receivables	-	26,491
Sundry income	-	20,644
Unrealised foreign exchange gain	-	4,992
Total income	1,793,277	2,463,361
Administrative and operating expenses (APPENDIX II)	(1,433,444)	(1,868,254)
Profit before finance cost and taxation	359,833	595,107
Finance cost:		
Lease interest expense	(7,693)	(11,844)
Profit before taxation	352,140	583,263
Taxation	(104,500)	(152,130)
Net profit for the year after taxation, representing total comprehensive income	247,640	431,133
Retained profits brought forward	3,818,773	3,387,640
Retained profits carried forward	4,066,413	3,818,773

Company No: 200501036816 (718964-U)

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2021

	2021 RM	2020 RM
Employment pass expenses	120,012	139,147
EPF	72,935	89,665
HRDF	3,753	975
Insurance	59,547	95,812
Salaries, wages and staff welfare expenses	3,821,230	5,070,523
Socso	27,164	39,210
Sub contractor costs	1,659,345	860,768
Transport expenses	467,974	591,424
	6,231,960	6,887,524

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FOR MANAGEMENT PURPOSES ONLY
APPENDIX II

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

ADMINISTRATIVE AND OPERATING EXPENSES FOR THE YEAR ENDED 31 MARCH 2021

	2021 RM	2020 RM
Audit fee disbursement	1,056	569
Auditors' remuneration	8,800	8,800
Bad debts written off	-	31,800
Bank charges	10,230	3,616
Bonus	24,200	-
Corporate finance fees	571,852	696,054
Depreciation of plant and equipment	6,129	8,703
Depreciation of right-of-use assets	54,457	53,663
Employment pass expenses	6,489	14,322
EPF	20,815	35,804
Hire charges	5,424	6,390
HRDF	809	432
Insurance	19,372	17,329
Job portal expenses	59,008	140,905
Meals and entertainment	2,994	1,282
Membership	4,956	1,097
Office repair and maintenance	376	5,180
Penalty	7,518	-
Postage and courier	2,039	3,286
Printing and stationery	901	2,676
Professional fees	33,469	33,102
Realised foreign exchange loss	49,015	48,615
Recruitment and placement fee	2,921	2,901
Rental of premises	15,138	16,514
Salary and leave encashment	456,752	576,870
Socso	3,390	2,664
Stamping fees	145	2,675
Sundry expenses	31,329	-
Telephone	17,526	30,159
Travelling expenses	9,667	114,472
Unrealised foreign exchange loss	3,407	-
Utilities	3,260	8,374
	1,433,444	1,868,254